PRIVATE-LABEL RESIDENTIAL MORTGAGE-BACKED SECURITY

CANADIAN REMOTE ESTATE HOMES RMBS

Transaction 2026-1 | Indicative structure for 100 high-quality mansions in selected rural and remote Canadian locations.

CAD $250m	CAD $150m	60%
ASSUMED PROPERTY VALUE	INITIAL MORTGAGE POOL	AVERAGE OPENING LTV

Purpose. Illustrate how individually originated residential mortgages secured against completed homes could be pooled and tranched into a private-label RMBS. All values are assumptions for discussion, not verified market data or an investment offer.

Prepared as an indicative transaction concept | 24 October 2026

01

Executive summary

A proposed mortgage pool backed by individually financed, completed luxury homes.

Canadian Remote Estate Homes RMBS 2026-1 is a hypothetical private-label securitisation of 100 first-ranking residential mortgages. The housing concept relies on repeatable design, bulk purchasing, prefabrication where suitable and shared infrastructure to reduce cost per home without compromising the specification. After construction and sale, qualifying homeowner mortgages would be transferred to a special-purpose trust and used to support notes issued to investors.

$250m	$150m	$30m	100
Assumed combined property value	Original mortgage principal	Junior note / residual protection beneath Class A	Mortgage loans in the pool

Indicative transaction terms

Term	Proposed assumption
Issuer / trust	Canadian Remote Estate Homes Mortgage Trust 2026-1 (hypothetical special-purpose trust)
Collateral	100 individual first-ranking residential mortgage loans, secured against completed and independently valued homes
Geography	Five proposed regional clusters, 20 homes per cluster; locations subject to feasibility, title, infrastructure and demand tests
Property valuation	CAD $250.0 million aggregate; CAD $2.5 million average per home (assumption only)
Mortgage balance	CAD $150.0 million aggregate; CAD $1.5 million average per loan
Initial LTV	60% average; proposed 65% individual maximum subject to valuation and underwriting rules
Mortgage terms	6.00% assumed fixed rate; 25-year amortisation; 5-year initial term
Securities	CAD $120m Class A; CAD $22.5m Class B; CAD $7.5m sponsor-retained Class C residual
Guarantees	No CMHC or Government of Canada guarantee assumed; private-label structure only
Status	Illustrative concept. No assets, borrowers, funding commitments, ratings or securities are represented as existing.

Transaction thesis

A lower construction cost base may create a margin between development cost and market value. Mortgage leverage at a conservative initial LTV, verified borrower capacity, credible appraisals and subordinated capital can support a securitisation - but do not remove property-market or default risk.

02

Development and construction economics

A standardised luxury-home platform designed to lower marginal build cost across a 100-home programme.

The base case assumes a detached mansion of approximately 3,000-3,500 sq ft, built to a consistent quality specification and adapted to local site conditions. Bulk procurement, repeatable structural details, controlled off-site manufacture and common mechanical systems may reduce costs. Remote logistics, access roads, utilities, foundations, climate and labour availability may offset those savings and must be priced at site level.

Illustrative programme budget

Development cost item	Per home	100 homes
Land acquisition	$125,000	$12,500,000
Building construction and finishes	$1,050,000	$105,000,000
Site works and allocated infrastructure	$250,000	$25,000,000
Design, professional fees, permits and contingency	$150,000	$15,000,000
TOTAL DEVELOPMENT COST	$1,575,000	$157,500,000

Completed sales value: illustrative case

Metric	Amount
Completed homes	100
Assumed average arm's-length sale price	$2,500,000
Aggregate assumed sales value	$250,000,000
Aggregate estimated development cost	($157,500,000)
ILLUSTRATIVE GROSS DEVELOPMENT SURPLUS	$92,500,000
Gross surplus as a share of sales	37.0%

Interpretation

The CAD $92.5m figure is a gross development surplus before finance costs, selling expenses, corporate overhead, taxes and any omitted costs. It is not an assured profit. Market value must be evidenced by independent appraisals and arm's-length demand; a low build cost cannot, by itself, establish a CAD $2.5m resale value.

Quality controls proposed: code and permit compliance; independent quantity surveying; staged inspections; commissioning records; construction defect warranties; material traceability; verified year-round access; and acceptance tests for water, wastewater, heat, ventilation, power and connectivity.

03

Mortgage pool and collateral

100 individual loans, with borrower equity providing the first line of structural support.

The mortgage pool is assumed to be originated only after each property is complete, sold and independently valued. Each borrower receives a separate credit assessment; the transaction should not rely on an assumed ability to recover the loan solely through property sale. Loan eligibility requires legal title, enforceable first-ranking security, documented income and assets, adequate insurance, acceptable access and utilities, and a defensible valuation.

Collateral metric	Illustrative assumption
Number of mortgage loans	100
Aggregate property value	$250,000,000
Aggregate original mortgage principal	$150,000,000
Average property value	$2,500,000
Average original mortgage	$1,500,000
Average initial LTV	60%
Buyer equity per property	$1,000,000
Aggregate buyer equity	$100,000,000
Mortgage rate / amortisation / term	6.00% fixed / 25 years / 5-year initial term
Mortgage insurance	Not assumed

Borrower and property underwriting

- Verify borrower identity, income sources, assets, liabilities, credit history and the origin of the down payment.
- Stress-test debt service at a suitable qualifying rate and under plausible income and expense shocks.
- Obtain independent appraisals that separate land value, building replacement cost, market value and stressed sale value.
- Require year-round legal access, functioning utility arrangements, appropriate environmental reviews and acceptable property insurance.
- Use written eligibility criteria for loan size, LTV, borrower concentration, related-party dealings and documentation exceptions.
- Track regional concentrations; a proposed starting cap is 20% of original pool principal in any single cluster.

Remote-property valuation risk

Luxury properties in thinly traded markets may have few reliable comparable sales and longer resale periods. Appraisal methodology, liquidity discounts and stress-case sale costs should be reviewed independently. The modelled value of CAD $250m is an assumption - not a verified valuation.

04

Securitisation and capital structure

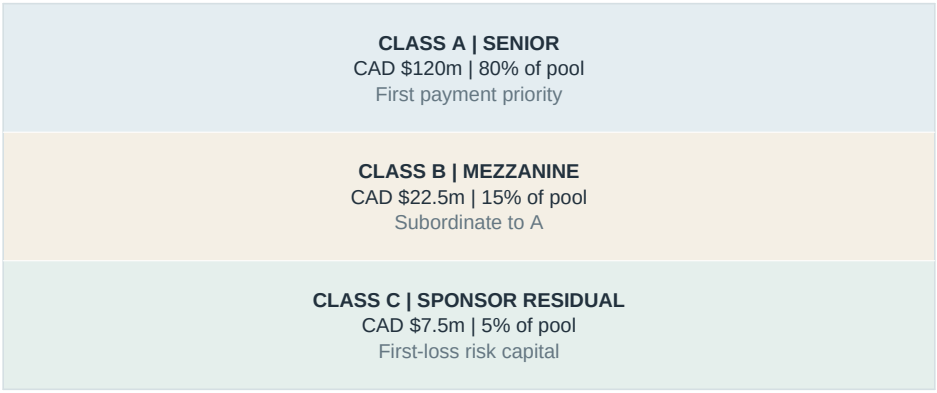
Mortgage cash flows are allocated through a defined seniority hierarchy.

A special-purpose issuer would acquire eligible mortgage loans through properly documented transfers. The issuer would hold the mortgage assets and issue securities with different payment priority and loss exposure. Bankruptcy remoteness, transfer effectiveness, mortgage security perfection and servicing continuity require Canadian legal and tax advice; none is established by this illustrative paper.

Proposed opening capital structure

Class	Amount	% of pool	Illustrative coupon	Position
A - Senior notes	$120,000,000	80%	4.75%	First priority for payments; protected by junior interests
B - Mezzanine notes	$22,500,000	15%	6.50%	Subordinate to A; senior to C for principal-loss allocation
C - Sponsor-retained residual	$7,500,000	5%	Residual	First-loss interest; receives residual cash if available
TOTAL	$150,000,000	100%	-	Matches opening mortgage principal

How the structure is intended to work



Important distinction

Class C is shown as a retained residual interest, not a conventional fixed-coupon note. The coupons on Classes A and B are assumed only for illustration and are not market quotes, ratings or promised returns. The final offering would require a defined legal waterfall, reserve mechanics, events of default, servicing standards and investor disclosure.

05

Cash flows and payment waterfall

Scheduled payments are illustrative; actual performance will vary as balances amortise and loans prepay or default.

A CAD $1.5m mortgage at 6.00% nominal annual interest, paid monthly and amortised over 25 years, has an estimated scheduled principal-and-interest payment of CAD $9,664.52. Across 100 identical loans, the opening scheduled payment stream is approximately CAD $966,452 per month. The five-year initial mortgage term is shorter than the 25-year amortisation: renewal, maturity, refinancing and default treatment must be specified in the documents.

Cash-flow measure	Opening-balance illustration
Monthly scheduled payment per mortgage	$9,664.52
Monthly scheduled payments - 100 loans	$966,452
Annual scheduled principal and interest	$11,597,425
Annualised gross interest at opening principal (6.00%)	$9,000,000
Class A annual interest at 4.75%	$5,700,000
Class B annual interest at 6.50%	$1,462,500
Servicing / administration allowance (0.50% of pool)	$750,000
Residual interest cash before other items	$1,087,500

Proposed waterfall

1	Essential trust, trustee, servicing and administration expenses.
2	Restore required reserves and satisfy senior liquidity obligations.
3	Pay scheduled Class A interest.
4	Pay scheduled Class B interest, subject to final priority terms.
5	Allocate principal collections to Class A until repaid, subject to triggers and legal priorities.
6	After Class A is repaid, allocate principal to Class B.
7	Distribute residual cash to Class C only after all required payments, reserves and tests are satisfied.

The CAD $1.0875m opening residual estimate is gross of realised credit losses, taxes, extra legal/enforcement costs and expenses above the assumed allowance. Because principal amortises, gross interest and note balances change over time; the calculation is not a forecast of annual net income or Class C return.

06

Credit enhancement and stress testing

Subordination provides a first-loss buffer, but collateral value and recovery costs remain critical.

The proposed structure gives Class A CAD $30m of junior interests beneath it at closing (20% of the original pool). Class B is protected by the CAD $7.5m Class C interest. An additional liquidity reserve could be established, but it must be funded from a documented source and legally separate from the residual interest. Liquidity support addresses timing gaps; it does not erase permanent collateral losses.

Illustrative controls

Control	Proposed starting point	Purpose
Subordination	$30m junior interests beneath Class A	Absorb initial mortgage principal losses before Class A
Liquidity reserve	$3m (2% of original pool), funded separately	Cover permitted temporary cash shortfalls and expenses
Excess spread	Retain excess spread when performance triggers breach	Build additional protection when arrears or losses rise
Arrears trigger	Arrears >3% of outstanding pool for two reporting dates	Suspend residual distributions and review performance
Loss trigger	Cumulative net losses >1.5% of original pool	Redirect available cash toward senior principal as defined

Simplified forced-sale scenarios

Assumptions: all properties are liquidated; property values fall by the stated percentage; assumed selling and forced-sale expenses equal 15% of stressed value; original mortgage principal remains CAD $150m; no other claims or costs are included. These are stylised scenarios rather than default forecasts.

Scenario	Stressed gross value	15% sale costs	Net recovery	Shortfall vs $150m principal
Value decline 20%	$200.00m	($30.00m)	$170.00m	$0; $20m excess
Value decline 30%	$175.00m	($26.25m)	$148.75m	$1.25m
Value decline 40%	$150.00m	($22.50m)	$127.50m	$22.50m

Loss allocation example

Under the simplified 40% decline case, the modelled principal shortfall of $22.5m would exhaust Class C ($7.5m) and reduce Class B by $15m. Class A remains covered by the remaining modelled recovery proceeds only under the simplifying assumption that no additional interest, legal expenses, taxes or other senior claims reduce recoveries.

07

Risk factors and Canadian positioning

The proposed collateral is a private-label, uninsured residential mortgage pool unless eligibility is demonstrated otherwise.

Risk	Why it matters	Mitigation / evidence required
Valuation and liquidity	Remote luxury houses may have few comparable sales and long resale periods.	Independent full appraisals; comparable-sale review; stressed sale values and time-to-sale assumptions.
Construction cost	Remote access, utilities, foundations and shipping may erase scale savings.	Site-level feasibility; fixed-price scopes where possible; contingency; quantity-surveyor review.
Borrower default	High-value properties do not prove borrower payment capacity.	Documented income and assets; debt-service stress; credit and down-payment verification.
Refinancing / renewal	Five-year mortgage terms can reprice before amortisation is complete.	Model renewal rates, maturity risk, borrower exit options and refinancing stress.
Natural hazards / insurance	Wildfire, flood, extreme cold and other local risks may affect availability and cost of coverage.	Hazard screening; insurability confirmed before closing; appropriate coverage and deductibles.
Concentration	Regional macroeconomic or climate events can affect multiple loans simultaneously.	Geographic caps, cluster-level exposure monitoring and correlated stress scenarios.
Legal / servicing	A weak transfer or servicing arrangement can delay or impair cash collection.	Canadian counsel; enforceability opinions; perfected security; backup servicing and data controls.

Canadian mortgage insurance and securitisation

At the assumed CAD $2.5m average property value, the model is structured as a private-label RMBS backed by uninsured mortgages. CMHC states that its standard homeowner mortgage-insurance programme requires the purchase price / lending value or as-improved property value to be below CAD $1.5m. The eligibility rules and any alternative product must be checked at the time of origination. The transaction does not assume CMHC or Government of Canada support.

CMHC describes the National Housing Act Mortgage-Backed Securities (NHA MBS) programme as a securitisation channel for eligible mortgage pools, with CMHC guaranteeing timely interest and principal payments for securities issued through that programme by approved issuers. This hypothetical deal is not labelled NHA MBS and does not assume that guarantee.

Where applicable, federally regulated lenders are expected to follow OSFI residential mortgage underwriting guidance. The final structure must also be reviewed for provincial and territorial mortgage, property, enforcement, privacy, securities and tax requirements. The document is not legal, tax, accounting, lending or investment advice.

Required before issuance

Obtain Canadian legal and tax opinions; confirm the issuer structure, mortgage transfer and security perfection, servicing and backup servicing, investor disclosures, securities-law compliance, tax treatment, eligibility criteria, reporting, reserve rules and all cash-flow priorities. Ratings, if sought, would require independent analysis.

08

Implementation roadmap and source notes

The initial transaction can proceed only after the property economics, mortgage pool and legal structure have been independently validated.

Stage	Principal workstream	Gate to proceed
1. Land and feasibility	Select candidate sites; verify title, planning, access, water, wastewater, power, telecoms, environmental risks and site costs.	Feasible sites with costed infrastructure and a credible year-round resale market.
2. Construction platform	Finalise standard designs, specifications, supply agreements, prefab options, quality controls and prototype cost.	Evidence that cost targets are achievable at required quality and code compliance.
3. Build and sale	Complete and commission properties; resolve defects; obtain completion records and independent valuations.	Completed and marketable homes with credible arm's-length sale evidence.
4. Mortgage origination	Underwrite each buyer, verify down payment and income, execute first-ranking mortgages and confirm insurance.	100 eligible loans meeting the pool criteria and documentary standards.
5. Pool audit	Review valuations, title, loan files, property insurance, payment histories and servicing data.	Independent pool review with all exceptions resolved or expressly disclosed.
6. Securitisation	Establish trust, execute transfers and servicing arrangements, finalise notes, waterfall and disclosures.	Counsel and transaction parties sign off on enforceability and issuance documentation.
7. Issuance and monitoring	Issue notes, distribute proceeds and run monthly servicing, performance and investor reporting.	Operational readiness, reconciled records, liquidity arrangements and tested reporting.

Official source notes (reviewed 24 October 2026)

1. CMHC - General requirements for homeowner mortgage loan insurance. The page states that the maximum purchase price / lending value or as-improved property value must be below CAD $1.5m for homeowner loans.
https://www.cmhc-schl.gc.ca/consumers/home-buying/mortgage-loan-insurance-for-consumers/what-are-the-general-requirements-to-qualify-for-homeowner-mortgage-loan-insurance

2. CMHC - NHA MBS programme overview / guarantee fees. Describes the programme and CMHC guarantee of timely principal and interest for eligible NHA MBS securities.
https://www.cmhc-schl.gc.ca/professionals/project-funding-and-mortgage-financing/securitization/nha-mbs/annual-limits-and-guarantee-fees

3. OSFI - Residential mortgage underwriting practices and procedures, Guideline B-20. Addresses prudent underwriting, borrower capacity, collateral assessment and portfolio risk management for federally regulated financial institutions.
https://www.osfi-bsif.gc.ca/en/guidance/guidance-library/residential-mortgage-underwriting-practices-procedures-guideline-2017

Closing view

The core investment thesis is that disciplined, repeatable construction may lower costs, while conservative mortgage leverage, verified borrowers, independent valuations and a layered securitisation may improve investor protection. Commercial viability still depends on proving real buyer demand and market values for each remote location.

Disclaimer. This document is hypothetical and for discussion only. It is not an offer to sell or a solicitation to buy securities, a prospectus, a rating, a commitment to lend, or professional advice. Amounts and yields are illustrative assumptions. No transaction has been underwritten or independently validated. Actual terms require full due diligence, legal and regulatory review, market evidence and final documentation.